Impact of U.S. Tariffs on Malaysia's Economy (August 2025 Deal)

Context & Baseline Outlook

- In August 2025, the U.S. reduced tariffs on Malaysian exports to **19%** (from 25%).
- **Semiconductors and pharmaceuticals** were exempted from the tariff.
- Malaysia committed to:
  - Purchase **USD 150 billion** of U.S. equipment over 5 years.
  - Import **USD 3.4 billion annually** in LNG.
- Economists estimate the tariff could reduce Malaysia's GDP growth by **0.6–1.2 percentage points**.
- Bank Negara Malaysia (BNM) revised GDP forecast for 2025 to **4.0%–4.8%**.
- Q2 2025 GDP grew **4.4% year-on-year**; BNM cut the overnight policy rate to **2.75%**.

Scenario Analysis

Scenario	GDP Growth Projection
Limited Impact	4.4% – 4.8%
Moderate Impact	3.8% – 4.2%
Severe Impact	3.2% – 3.6%

Key Mitigating Factors

- Malaysia's economy is diversified (services sector = 60% of GDP).
- Policy buffers through the **13th Malaysia Plan (13MP)**.
- BNM's proactive rate cut and readiness for further policy support.